THE UNITED REPUBLIC OF TANZANIA
THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
NAMANGA FORM THREE PRE-MIDTERM EXAMINATION

COMMERCE
MARKING SCHEME AUGUST 2024

SECTION A (16 MARKS)

1. **Multiple Choice Items;**

Question	i	ii	iii	iv	v	vi	vii	viii	ix	x
Answer	C√	D√	E√	C√	D√	D√	A√	E√	D√	C√

10 Ticks @ 1 Mark = Total (10 Marks)

2. **Matching Items;**

Column A	I	ii	iii	iv	v	vi
Column B	F √	C√	G√	A√	B√	E√

6 Ticks @ 1 Mark = Total (6 Marks)

SECTION B (54 MARKS)

3. **Transportation;**
   (a) **Full Container Load (FCL);** Is way of carrying goods by hiring a ship by only one businessman. The goods carried in a ship is for that person only.

   (b) **Liners.** Are water vessels for carrying both passengers and cargo from specific port of destination to specified port of destination with specified timetable. They are sometimes called coasters.

   (c) **Tramps.** Are water vessels for carrying cargoes only from any port of destination to any port of destination without specified timetable.

   (d) **Charter Party.** Is a water transportation document for hiring a ship in order to carry goods or passengers from one port of destination to another. It might be a time charter or voyage charter.
   (e) **Dry Port.** Refers to port allocated in upland country away from sea level for simplifying distribution of goods to various parts of the country. This port is built in order to reduce congestions at the port of destination.

5 ticks @ 1.8 Marks = Total (09 Marks)

4. **Production Processes (Relationships between terminologies);**
   (a) **Production** and **from productivity.** Productivity increases production of goods and services in a company. They are positively related to each other.

(b) **Costs and Profit.** They are negatively related such that an increase in costs reduces profit while a decrease in costs increases profit.
(c) **Production and costs.** They are negatively related such that an increase in costs reduces production while a decrease in costs increases production.
(d) **Productivity and costs.** They are negatively related such that an increase in productivity reduces production costs per unit while a decrease in productivity increases production costs.
(e) **Production and production resources.** They are positively related such that availability of economic resources such as labour, land, capital and entrepreneurship increases production while absence of economic resources reduces production.

5 ticks @ 1.8 Marks = Total (09 Marks)

5. **Personal Selling;**
   (a) **Three types of salesmen;**
      1. Counter salesmen or showroom salesmen. √
      2. Door to door (briefcase) salesmen. √
      3. Field salesmen. √
   (b) **Features of a good salesmen;**
      1. Attractive personality. √
      2. Honesty. √
      3. Politeness. √
      4. Knowledgeable about the product.
      5. Ability to assess customers (ability to anticipate customers' demand).

6 points @ **1.5 Marks = Total (09 Marks)**

Any 9 ticks @ 1 Mark = Total (09 Marks)

6. **International Trade;**
   (a) **Trade barriers include;**
      - Total ban,
      - Exchange control,
      - Tariffs,
      - Devaluation.
      - Quotas.
      - Trade agreements.

   (b) **Benefits;**
      - Ensuring sufficient supply of goods,
      - Source of foreign revenues,
      - Full utilization of resources,
      - Price stabilization,
      - Creation of employments,
      - Encouragement of specialization.

Any 6 Points @ 1.5 Mark = Total (09 Marks)

7. **Types Of Retailers Without Fixed Premises;**
   (a) Peddlers.
   (b) Hawkers.
   (c) Mobile shops.

(d) Roadside traders.
(e) Cheap jacks.
(f) Barrow boys.
(g) Mongers.

6 Ticks @ 1.5 Mark = Total (09 Marks)

8. **Stock Administration;**

Data;
Sales TZS 10,000,000
Opening stock TZS 1,000,000
Closing stock 25% of sales
Gross profit on cost 33.33% or 1/3
Margin 1/4

(a) Margin = Gross Profit/Sales
¼ = gross profit/10,000,000
Gross profit = TZS 2,500,000. √

(b) Cost Of Sales = Sales – Gross Profit,
Cost of sales = 10,000,000 – 2,500,000
Cost of sales = TZS 7,500,000. √

(c) Purchases = cost of sales + closing stock – opening stocks
Purchases = 7,500,000 + 0.25 * 10,000,000 – 1,000,000
Purchases =TZS 9,000,000. √

(d) Rate of stock turnover = Cost of Goods Sold / Average Stock
Rate of stock turnover = 7,500,000 / 1,750,000
Rate of stock turnover = 4.286 times. √

(e) Gross Profit on Sales = (Gross Profit /Sales) * 100%
Gross profit on Sales = (2,500,000 / 10,000,000) * 100%
Gross Profit on Sales = 25%.√

5 Ticks @ 1.8 Marks = Total (09 Marks

SECTION C (30 MARKS)

9. **Ways Of Controlling Inflation;**

(a) Selling government securities such treasury bonds and treasury bills.
(b) Increase in bank rate,
(c) Special credits,
(d) Increase in reserve requirement,
(e) Moral suasions to reduce money supply,
(f) Increase special deposits.

Introduction = 2 marks
Main Body 6 Points @ 2 Marks = 12 Marks
Conclusion = 1 Mark
Total = 15 Marks.

10. **Sources of Capital (Loan);**

Benefits;

(a) Timely provision of credit,
(b) Secrecy of the business,
(c) Few formalities than equity capital,
(d) The amount may be used to repay back the loan amount,

Limitations;

(a) Difficult terms and conditions,
(b) Confiscation of the security,
(c) Fixed and higher interest rate.

Introduction = 2 marks
Main Body 6 Points @ 2 Marks = 12 Marks
Conclusion = 1 Mark
Total = 15 Marks.

11. **Objectives Of Advertising;**

(a) To inform the public.
(b) To face competition in the market.
(c) To persuade the public.
(d) To sustain customers.
(e) To create demand.
(f) To educate the public.

Introduction = 2 Marks
Main Body 6 Points @ 2 Marks = 12 Marks
Conclusion = 1 Mark
Total = 15 Marks.